

SENATE BILL 2576

By Harshbarger

AN ACT to amend Tennessee Code Annotated, Title 8, Chapter 27; Title 56, Chapter 7 and Title 71, Chapter 5, relative to pharmacy benefits managers.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 56-7-3206(c)(1), is amended by deleting the subdivision and substituting:

(1) Notwithstanding another law to the contrary, a pharmacy benefits manager shall not reimburse a contracted pharmacy for a prescription drug or device or a pharmacy service in an amount that is less than the greatest of:

(A) The actual cost to the pharmacy for the prescription drug or device or pharmacy service;

(B) One hundred five percent (105%) of the national average drug acquisition cost (NADAC) as calculated by the centers for medicare and medicaid services and reflected in the most recently released public file for the prescription drug or device or pharmacy service at the time the drug or device is administered or dispensed or service is rendered;

(C) The wholesale acquisition cost (WAC) of the drug, as defined in 42 U.S.C. § 1395w-3a(c)(6)(B), if the national average drug acquisition cost is not available at the time the drug is administered or dispensed; or

(D) The amount the pharmacy benefits manager reimburses the pharmacy benefits manager's self or an affiliate for the same prescription drug or device or pharmacy service on a per-unit basis using the same generic product identifier or generic code number.

SECTION 2. Tennessee Code Annotated, Section 56-7-3206(c)(2)(A), is amended by deleting the subdivision and substituting:

(A)

(i) A pharmacy benefits manager shall establish a process for a pharmacy to appeal a reimbursement for failing to pay at least the actual cost to the pharmacy for the prescription drug or device or pharmacy service.

(ii) If a pharmacy benefits manager fails to pay at least the amount required by subdivision (c)(1)(B), (C), and (D) for the prescription drug or device or pharmacy service, then the pharmacy may file a complaint against the pharmacy benefits manager with the department of commerce and insurance.

(iii) It is a violation of this subsection (c) if a pharmacy benefits manager or covered entity fails to reimburse the pharmacy at least the amount required by subdivision (c)(1)(B), (C), and (D) for the prescription drug or device or pharmacy service.

(iv) A pharmacy benefits manager or covered entity who fails to reimburse a pharmacy at least the amount required by subdivision (c)(1)(B), (C), and (D) for the prescription drug or device or pharmacy service shall pay the pharmacy twice the amount owed to the pharmacy.

SECTION 3. Tennessee Code Annotated, Section 56-7-3206(c)(3)(B), is amended by deleting the subdivision and substituting:

(B)

(i) It is a violation of this subsection (c) if, after an appeal in which a pharmacy or agent acting on behalf of a pharmacy prevails, a pharmacy benefits manager or covered entity fails to reimburse the pharmacy, at a minimum, the actual cost within fourteen (14) days.

(ii) A pharmacy benefits manager or covered entity who fails to reimburse a pharmacy, as described in subdivision (c)(3)(B)(i), shall pay the pharmacy twice the amount owed to the pharmacy.

SECTION 4. Tennessee Code Annotated, Section 56-7-3206(c)(4)(B), is amended by deleting the subdivision and substituting:

(B)

(i) If the product associated with the national drug code number or unique device identifier is not available at a cost that is less than the challenged rate of reimbursement from the pharmaceutical wholesaler from whom the pharmacy purchases the majority of prescription pharmaceutical products for resale, then the pharmacy benefits manager shall adjust the challenged rate of reimbursement to an amount equal to or greater than the appealing pharmacy's actual cost for each claim affected by the inability to procure the pharmaceutical product at a cost that is equal to or less than the previously challenged rate of reimbursement. The pharmacy benefits manager shall pay or waive the cost of any transaction fee required to reverse and rebill the claim.

(ii) A pharmacy benefits manager shall remit all additional monies owed and provide claim-level details for the adjustments to the pharmacy and its pharmacy services administrative organization within seven (7) business days of the appeal determination.

SECTION 5. Tennessee Code Annotated, Section 56-7-3206(d), is amended by deleting the subsection.

SECTION 6. Tennessee Code Annotated, Section 56-7-3206(e), is amended by deleting the subsection and substituting:

(e) A pharmacy benefits manager shall not include within the amount calculated to reimburse a pharmacy pursuant to subdivision (c)(1) the amount of any professional dispensing fee that is payable to the pharmacy.

SECTION 7. Tennessee Code Annotated, Section 56-7-3206(c)(3)(A)(iii), is amended by deleting the subdivision and substituting:

(iii) Not require the challenging pharmacy to reverse and rebill the claim upon which the appeal is based and waive or not require the challenging pharmacy to pay the cost of any transaction fee or other fees required to reverse and rebill the claim;

SECTION 8. Tennessee Code Annotated, Section 56-7-3206(c)(3)(A)(iv), is amended by deleting the subdivision and substituting:

(iv) Pay all additional monies owed to the pharmacy and provide claim-level details for the payment to the pharmacy and its pharmacy services administrative organization within seven (7) business days;

SECTION 9. Tennessee Code Annotated, Section 56-7-3206(c)(3)(A), is amended by adding the following as a new subdivision:

(vii) Apply the findings from the appeal as to the rate of the reimbursement and actual cost for the particular drug or medical product or device to all remaining refills on the issued prescription drug or medical product or device.

SECTION 10. Tennessee Code Annotated, Section 56-7-3206(f), is amended by deleting the subsection and substituting:

(f) A pharmacy benefits manager shall pay a professional dispensing fee at a rate that is not less than the amount paid by the TennCare program to a pharmacy if the pharmacy dispenses a prescription drug or device pursuant to an agreement with the pharmacy benefits manager or a covered entity. This professional dispensing fee must

not be added on to the patient's copayment cost share, deductible, or otherwise passed to the patient through any other out-of-pocket payment by the beneficiary.

SECTION 11. This act takes effect July 1, 2026, the public welfare requiring it, and applies to policies, plans, and contracts entered into, renewed, amended, or modified on or after that date.